

Unit-1

E-Commerce

- E-commerce stands for electronic commerce. •
E-commerce is the activity of purchasing or selling products via the internet.
- E-commerce offers almost everything to buy, making it extremely competitive.
- It involves the use of electronic platforms, such as websites, mobile applications, and social media, to conduct transactions between businesses and consumers or between businesses.
- Some notable examples of successful e-commerce businesses are Amazon, Flipkart and Myntra.

Advantages of E-Commerce

1. **Selling Internationally**-It is a platform where any trader or business may advertise their good around the globe. Anybody can purchase item from any location.
2. **Accessibility**-Anything may now be purchased quite easily. On the e-commerce platform, products are accessible around the clock.
3. **Cheap**-Because of this, any business may offer their goods directly to consumers. The client can purchase good for less money online than in a physical store.
4. **Domestic Delivery**-A customer's requested item is

quickly delivered to his home via an e-commerce company.

5. Locating Basics-We may use single click to browse an online e-commerce website and purchase products. **6.**

Improving customer service- Quick response to customers and addressing customers problems. **7. User convenient-**E-commerce provide convenience to customers by providing them on time alerts and informing them about new products.

Disadvantages of E-Commerce

1. Safety- E-Commerce has a significant issue from online fraud. Hackers steal personal information, financial information, and other data from websites. **2.**

Fear-People worry that they will lose their money if wrong goods are delivered and it would be challenging to obtain their money back if the website is unreliable. **3.**

Some things are difficult to purchase online-Some necessary items and valuables are challenging to purchase online. People believe it is more appropriate to purchase items like jewelery online.

4. Delivery Is Late-You are granted a specific amount of time while buying on an e-commerce website, after which you will get your purchase.

5. Self-Awareness-Item may appear appealing on

website, but in real it may be worse. People who are offline can touch and see object of their choice. **6. Risk of Privacy**-Every individual is required to disclose their personal information, such as name, address, phone number, etc., to the online retailer before completing a transaction.

Scope of E-Commerce

1. Online Retail:

- . Traditional retail businesses have expanded their reach by establishing an online presence. .
- Pure-play online retailers, like Amazon operate exclusively in the digital space.

2. Mobile Commerce (m-commerce):

- . With the widespread use of smartphones, mobile commerce has become a significant aspect of e-commerce.
- . Consumers can make purchases, compare prices, and browse products using mobile apps or mobile-optimized websites.

3. Social Commerce:

- . Social media platforms have integrated e-commerce features, allowing users to discover and purchase products directly within the social environment.
- . Influencers and user-generated content play a

role in promoting products.

4. Cross-Border E-commerce:

- E-commerce has enabled businesses to reach a global audience, and consumers can buy products from international sellers.

5. Digital Payments:

- The evolution of secure online payment systems has facilitated e-commerce growth. · Digital wallets, credit/debit cards, and other electronic payment methods have become integral to online transactions.

6. Emerging Technologies:

- Technologies like artificial intelligence (AI), virtual reality (VR), and augmented reality (AR) are being integrated into e-commerce experiences to enhance user engagement and improve the shopping process.

7. Support the Exchange:

- E-commerce includes intra and inter organizational activities that support exchange. ·

The scope of e-commerce includes all electronically based intra and inter organizational activities that directly or indirectly support marketplace exchange.

8. Accounting:

- Financial accounting and asset management are

best possible in e-commerce because of integrated database

.Financial planning and strategy determination become more convenient in e-commerce.

Traditional Commerce vs. Electronic Commerce

1.Traditional Commerce :

Traditional commerce refers to the commercial transactions or exchange of information, buying or selling product/services from person to person without use of internet which is a older method of business style and comes under traditional business. Now a days people are not preferring this as it is time taking and needs physical way of doing business.

Example includes physical market/bazaar.

2. E-commerce :

E-commerce refers to the commercial transactions or exchange of information, buying or selling product/services electronically with the help of internet which is a newer concept of business style and comes under e-business. Now a days people are preferring this as it is less time taking and does not need physical way of doing business.

Example includes online shopping sites.

S.N o.	TRADITIONAL COMMERCE	E-COMMERCE
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01.	Traditional commerce refers to the commercial transactions or exchange of information, buying or selling product/services from person to person without use of internet.	E-commerce refers to the commercial transactions or exchange of information, buying or selling product/services electronically with the help of internet.
02.	In traditional commerce it is difficult to establish and maintain standard practices.	In e-commerce it is easy to establish and maintain standard practices.
03.	In traditional commerce direct interaction through seller and buyer is present.	In e-commerce indirect interaction through seller and buyer occurs using electronic medium and internet.
04.	Traditional commerce is carried out by face to face, telephone lines or mail systems.	E-commerce is carried out by internet or other network communication technology.
05.	In traditional commerce processing of transaction is manual.	In e-commerce processing of transaction is automatic.
06.	In traditional commerce delivery of goods is instant.	In e-commerce delivery of goods takes time.
07.	Its accessibility is for limited time	Its accessibility is 24×7.
08.	Traditional commerce is done where digital network is not reachable.	E-commerce is used to save valuable time and money.
09.	Traditional commerce is a older method of business style which comes under traditional business.	E-commerce is a newer concept of business style which comes under e-business.
10.	Its resource focuses on supply side.	Its resource focuses on demand side.
11.	In traditional commerce customers can check products physically before purchase.	In e-commerce customers can not check products physically before purchase.

12.	Its business scope of business is a limited physical area.	Its business scope is worldwide as it is done through digital medium.
13.	For customer support, information exchange there is no such uniform platform.	For customer support, information exchange there is exists uniform platform.

Impact of E-Commerce

E-commerce has a profound impact on various aspects of business, society, and economy. Here are some key areas:

- 1.Global Reach and Accessibility:** E-commerce has removed geographical barriers, allowing businesses to reach a global audience. Small businesses can now compete on a global scale without physical presence in multiple locations.
- 2.Convenience for Consumers:** E-commerce provides consumers with the convenience of shopping from anywhere at any time. This has led to a shift in consumer behaviour, with more people choosing online shopping over traditional stores.
- 3.Marketplace Diversity:** Online platforms have facilitated emergence of diverse marketplaces where wide range of products and services are available. Consumers have access to a variety of choices and businesses can explore markets easily.
- 4.Business Models and Startups:** E-commerce has enabled rise of new business models, such as drop

shipping, subscription services and online marketplaces. Startups use e-commerce platforms to establish and grow their businesses with lower entry barriers.

5. Job Creation Changing Skill Requirements: The growth of e-commerce has created job opportunities in areas such as digital marketing, logistics, web development, and customer service.

6.Changing Skill Requirements: It has also led to a shift in skill requirements, with increased demand for digital literacy and technology-related skills.

7.Data and Personalization: E-commerce platforms collect vast amounts of data on consumer behaviour. This data is used to personalize user experiences, offer targeted promotions, and improve customer engagement.

8.Challenges for traditional street side business: Traditional retailers face challenges as consumers increasingly prefer online shopping. This has led to the need for these retailers to adapt and incorporate digital strategies to stay competitive.

9.Cyber security Concerns: With increase in online transactions, there is a growing concern for cyber security. E-commerce businesses need to invest in secure payment gateways and robust cyber security measures to protect customer data and maintain trust.

10. Impact on Children: During their online buying,

children may innocently provide information that can lead to receiving undesired material.

11. Encouragement of monopoly practices: It would have greater danger of creating monopoly of e-commerce by few corporations.

12. Loss of Privacy: Consumers feel that organizations collect too much private information and may attempt to sell it to third party.

Electronic markets

- Electronic markets, often referred to as e-markets, are online platforms or systems that facilitate electronic trading of goods, services, or financial instruments.
- These markets leverage digital technologies to connect buyers and sellers, streamline transactions, and facilitate the exchange of information.
- Electronic markets have become increasingly prevalent with rise of internet and advancements in information and communication technologies. Here are key aspects and types of electronic markets:

Types of Electronic Markets/ E-commerce:

1.B2B (Business-to-Business):

- B2B e-commerce is any business process between two companies that uses Web based network technology.
- B2B is doing business between companies such as

manufacturers selling to distributors and
wholesalers selling to retailers

2.B2C (Business-to-Consumer):

- B2C electronic markets involve transactions between businesses and individual consumers. • Online retail platforms, such as Amazon and Myntra, are examples of B2C e-markets.

3.C2C (Consumer-to-Consumer):

- C2C electronic markets enable consumers to sell directly to other consumers.
- For example: selling car to neighbour.

4.C2B (Consumer-to-Business):

- In C2B electronic markets, individual consumers offer products or services to businesses. This model is common in influencer marketing and user-generated content platforms.

5.Government-to-Citizen (G2C) and Government to-Business (G2B):

- These electronic markets involve transactions between government entities and citizens or businesses.
- Examples include online government services, tax filing platforms, and procurement portals.

Advantages of Electronic Markets:

1.Global Reach: Electronic markets eliminate geographical barriers, allowing participants to engage in transactions on a global scale.

2.Efficiency: Digital platforms streamline processes, reducing the time and resources required for transactions. Automation and electronic documentation contribute to increased efficiency.

3.Cost Savings: E-markets can lead to cost savings for both buyers and sellers by reducing overhead costs associated with traditional brick-and-mortar operations.

4.Access to Information: Participants in electronic markets have access to a wealth of information, including product details, prices, and customer reviews, enabling more informed decision-making.

5.24/7 Availability: Unlike traditional markets with set operating hours, electronic markets are accessible 24/7, providing flexibility for participants.

Challenges in E-market:

- **Security and Trust:** Security concerns, such as data breaches and fraud, need to be addressed to ensure the safety of transactions.
- **Regulatory Compliance:** E-markets must comply with regulations, including consumer protection laws, data privacy regulations, and taxation laws.
- **Integration with Existing Systems:** Businesses

often need to integrate electronic market platforms with their existing systems.

- **Marketplace Competition:** competition among sellers on e-markets can sometimes lead to price wars and challenges in maintaining profit margins.
- **User Experience:** Providing a user-friendly experience is essential for the success of electronic markets.

Internet commerce

- Internet commerce, also known as e-commerce or electronic commerce, refers to the buying and selling of goods and services over the internet.
- Internet commerce is use of internet for all phases of creating and completing business transactions.
- It includes delivery of information, products/services and payments over the internet.

E-commerce in perspective

Examining e-commerce in perspective involves considering its broader context, impact, and evolution within the larger framework of business, technology, and society. Here are several perspectives to consider:

1. **Business Transformation:** E-commerce has fundamentally transformed the way businesses operate. Traditional brick-and-mortar models have had to adapt to the digital landscape, incorporating online strategies to remain competitive.

2.Global Reach and Market Access: E-commerce has democratized access to markets. Small and medium-sized enterprises (SMEs) can now reach a global audience without the need for an extensive physical presence, leveling the playing field in certain respects.

3.Consumer Behavior and Expectations: E-commerce has shaped consumer behavior, fostering a culture of convenience, comparison shopping, and instant gratification. Consumers now expect seamless online experiences, fast shipping, and a variety of choices.

4.Technological Advancements: E-commerce has been a driving force behind technological advancements. Innovations in payment systems, security protocols, data analytics, and artificial intelligence have been spurred by the demands and complexities of online transactions.

5. Supply Chain Evolution: The rise of e-commerce has prompted significant changes in supply chain management. Companies have had to develop more agile and efficient supply chains to meet demands of online retail.

6. Job Creation and Disruption: E-commerce has created job opportunities in areas such as digital marketing, e-commerce platform development, logistics, and customer service. But it has also led to disruption of traditional retail jobs and models.

7. Economic Impact: E-commerce contributes significantly to the global economy. It has become major driver of economic growth, entrepreneurship and innovation. Governments and businesses are grappling with implications of e-commerce on taxation, trade policies, economic development.

8. Social and Cultural Changes: E-commerce has influenced social and cultural dynamics. It has altered how people shop, interact with brands, and engage in commerce. Social media platforms and influencers play a crucial role in shaping consumer choices within the e-commerce ecosystem.

9. Data and Privacy Concerns: The collection and use of vast amounts of consumer data in e-commerce raise concerns about privacy and data security. Striking a balance between marketing and protecting user privacy is a challenge.

10. Sustainability and Environmental Impact:

E-commerce has both positive and negative environmental impacts. While it can reduce need for physical stores and associated energy consumption, increase in packaging, transportation may contribute to environmental concerns.

11. Regulatory Landscape: Governments worldwide are adapting regulatory frameworks to address the challenges posed by e-commerce, including issues related to taxation, consumer protection, and competition. The evolving

regulatory landscape reflects the need to balance innovation with responsible business practices.

12. Integration with Offline Experiences:

Successful e-commerce strategies often involve an integration of online and offline experiences.

Application of E Commerce in Direct Marketing and Selling

E-commerce has significantly transformed landscape of direct marketing and selling, offering advantages to businesses and consumers. Some key applications of e commerce in direct marketing and selling:

- 1.Global Reach:** E-commerce eliminates geographical barriers, allowing businesses to reach a global audience without the need for physical storefronts. This enables direct marketing and selling to customers around the world, expanding market reach and potential customer base.
- 2. 24/7 Accessibility:** Unlike traditional retail, e commerce platforms are accessible 24/7. This constant availability provides consumers with the flexibility to shop at their convenience, leading to increased sales opportunities for businesses engaged in direct marketing and selling.
- 3.Targeted Marketing:** E-commerce platforms collect valuable data on customer behaviour, preferences. This data can be used to create targeted marketing campaigns, tailoring promotions

and product recommendations to specific customer segments. This approach enhances effectiveness of direct marketing efforts.

4. Cost Efficiency: E-commerce eliminates the need for physical storefronts, reducing overhead costs associated with traditional retail. This cost efficiency allows businesses to allocate resources more effectively and offer competitive pricing to consumers engaged in direct purchasing.

5. Customer Engagement: E-commerce platforms facilitate direct communication between businesses and customers. Features such as live chat, product reviews, and social media integration enable businesses to engage with customers, address concerns, and build relationships, enhancing the overall direct selling experience.

6. Data Analytics: E-commerce provides robust analytics tools that allow businesses to track and analyze customer behaviour, sales performance, marketing effectiveness. This approach enables optimization of marketing strategies and product offerings for better results in direct selling.

7. Inventory Management: E-commerce platforms integrate with inventory management systems, ensuring updates on product availability. This helps businesses avoid overstocking or understocking issues.

8. Secure Transactions: E-commerce platforms

prioritize secure payment gateways, ensuring that financial transactions are safe and trustworthy. This builds customer confidence in direct purchasing, contributing to increased sales.

9.Mobile Commerce (m-commerce): With increase of smartphones and tablets, e-commerce extended to mobile platforms. This allows businesses to tap into growing market of mobile users, offering a convenient channel for direct marketing, selling.

10. Integration with Marketing Channels: E-commerce can be integrated with various marketing channels, including email marketing, social media, and content marketing. This integration ensures a cohesive and comprehensive approach to direct marketing, maximizing the impact of promotional efforts.

Obstacles in adopting E-Commerce Applications

The adoption of e-commerce applications bring various benefits to businesses, but it also comes with its challenges and obstacles. Some common obstacles that organizations face when adopting e-commerce are:

1. Security Concerns: Customers and businesses alike are concerned about the security of online transactions. Issues such as data breaches, identity theft, and payment fraud can erode trust in e-commerce platforms.

2.Technical Challenges: Implementing and

maintaining e-commerce applications require technical expertise. Small businesses, in particular, may struggle with the complexity of setting up and managing an e-commerce infrastructure.

3.Integration with Existing Systems: Many businesses already have existing systems in place, such as inventory management and accounting software. Integrating e-commerce applications with these systems can be challenging.

4.User Experience (UX) and Design: A poor user experience on an e-commerce site can drive away potential customers. Designing an intuitive, responsive, and user-friendly interface is crucial for the success of an e-commerce platform.

5.Regulatory Compliance: E-commerce operations are subject to various local and international regulations. Adhering to data protection laws, taxation rules, and regulatory requirements can be complex and may vary from one region to another.

6.Logistics and Fulfillment: order fulfillment and reliable shipping are essential components of a e commerce business. Managing inventory and ensuring timely deliveries can be challenging.

7.Payment Gateway Issues: Integrating secure payment gateways is critical for e-commerce success. Issues such as payment processing errors, delayed transactions, or lack of support for certain payment methods can affect user experience. **8.Mobile**

Optimization: With the increasing use of mobile devices for online shopping, ensuring that e-commerce applications are optimized for various screen sizes and devices is crucial. Failing to provide good mobile experience lead to lost sales. 9.

Scalability: As business grows, its e-commerce platform must be able to handle increased traffic, transactions, and data. Scalability issues can lead to slow performance and poor customer experience 10.

Customer Trust and Education: Building trust in online transactions is a challenge. Some customers may be hesitant to provide personal information or make payments online. Educating customers about the security measures and the benefits of online shopping is important.

11. **Competitive Landscape:** The e-commerce market is highly competitive. Businesses need to stay updated with latest trends and technologies to remain competitive, meet customer expectations.

Future of E-Commerce

The future of e-commerce is expected to be shaped by several trends and advancements. Here are some key areas that are likely to influence the evolution of e-commerce:

1. **Continued Growth of Mobile Commerce (m-commerce):** With the increasing use of smartphones, tablets, and other mobile devices,

mobile commerce is expected to continue its growth. E-commerce businesses will need to prioritize mobile optimization and user experience to cater to on-the-go consumers.

2. Advancements in Augmented Reality (AR) and Virtual Reality (VR): AR and VR technologies have the potential to revolutionize the online shopping experience by enabling virtual try-ons, product visualizations, and immersive shopping environments. This can reduce the uncertainty associated with online purchases.

3. Artificial Intelligence (AI) and Machine Learning (ML) Integration: AI and ML technologies can enhance personalized recommendations, chatbots for customer support, predictive analytics for inventory management, and fraud detection. These technologies will play a crucial role in improving efficiency and customer experience.

4. Voice Commerce (V-commerce): The rise of voice-activated devices and virtual assistants is likely to lead to increased adoption of voice commerce. Consumers may use voice commands to search for products, place orders, and track deliveries.

5. Blockchain for Enhanced Security and Transparency: Blockchain technology can address security concerns in e-commerce by providing a

decentralized and transparent ledger for transactions. This can enhance trust between buyers and sellers, reduce fraud, and streamline supply chain processes.

6. **Sustainable and Ethical E-Commerce:** Consumers are becoming more conscious of sustainability and ethical practices. E-commerce businesses that prioritize eco-friendly packaging, ethical sourcing, and transparent supply chains may gain a competitive edge.
7. **Social Commerce Integration:** Social media platforms continue to evolve as shopping channels. The integration of e-commerce features directly within social media platforms allows for a seamless shopping experience and facilitates impulse buying.
8. **Subscription-Based Models:** Subscription-based e-commerce models, where customers pay a regular fee for curated products or services, are gaining popularity. This approach can enhance customer loyalty and provide a steady revenue stream for businesses.
9. **Faster and More Efficient Delivery Options:** The demand for faster and more convenient delivery options, including same-day or one-hour delivery, is likely to increase. E-commerce businesses will invest in logistics and fulfillment solutions to meet these evolving customer expectations.
10. **Personalization and Customer Experience:** The

focus on personalization will intensify, with businesses leveraging data analytics to understand customer preferences and behavior. Providing a highly personalized and seamless customer experience will be a key differentiator.

11. Global Expansion: E-commerce businesses will continue to explore international markets, leveraging cross-border trade opportunities. This expansion will require addressing regulatory challenges, adapting to local preferences, and optimizing logistics on a global scale.

Overall, the future of e-commerce is dynamic and will be shaped by technological advancements, changing consumer behaviour, and the ability of businesses to adapt to emerging trends. Successful e-commerce strategies will likely involve a combination of innovative technologies, customer-centric approaches, and agility in responding to market dynamics.